



[Weekly Market Commentary](#)

Dear clients,

The Federal Reserve cut interest rates for the first time since 2020. The 50 basis point cut was a relative surprise to most economists, though it was in line with the overall market consensus by a narrow margin. The mixed expectations set a baseline repricing of risk assets (including crypto) to the upside following the release. We believe this positive market reaction to the decision reflects the Fed's relatively clear communication about the future policy path of controlled rate cuts going forward.

That said, Fed fund futures are pricing in 75bps of cuts for the remainder of 2024, compared to 50bps in the updated Fed dot plot guidance. We think this is due to a combination of concerns over the cooling labor market and the risk of continued revisions to the nonfarm payrolls data that has made initial readings skewed to the upside. Indeed, downward revisions to nonfarm payrolls have averaged 52M each month in 2024, above a mean monthly downward revision of 30M in 2023.

Meanwhile, a separate but significant implication of the Fed decision, in our view, is that these cuts provide space for other monetary authorities to take more stimulative (or less restrictive) measures. For example, the Fed may have given the People's Bank of China and the ECB greater flexibility to lower rates in future meetings or allow the Bank of Japan to take a more gradual approach to hikes. Specifically, the 50bps cut alleviates pressure on exchange rates by weakening the USD, which is now trading near YTD lows.

Read full report

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.